

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05



CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

VERIFIED COMPLAINT

Complainant CMI Distribution, Inc. ("Complainant" or "CMI"), by its undersigned attorneys, files this Verified Complaint against the Respondents herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the "Shipping Act") as follows:

I. Complainant

1. Complainant CMI is a corporation organized and existing under the laws of Illinois with a principal place of business at 555 Allendale Drive, Wheeling, IL 60090.

II. Respondents

2. Respondent Service by Air, Inc. ("Service by Air") is a corporation organized and existing under the laws of New York with its principal place of business at 222 Crossways Park, Dr., Woodbury, NY 11797. Service by Air is, and at all times pertinent to this Verified

Complaint was, an OTI within the meaning of the Shipping Act, 46 U.S.C. § 40102(19), subject to regulation by the FMC.

3. Respondent Radiant Customs Services Inc. (“Radiant”), formerly known as SBA Consolidators, Inc., is a corporation organized and existing under the laws of New York with its principal place of business at 405 114th Ave. SE, Third Floor, Bellevue, WA 98004. Radiant is, and at all times pertinent to this Verified Complaint was, an OTI within the meaning of the Shipping Act, 46 U.S.C. § 40102(19), subject to regulation by the FMC and bearing OTI License Number 9688. SBA Consolidators, Inc. was acting as an NVOCC during the relevant time period.

4. Respondent Las Freight System Ltd. (“Las Freight”) is a Taiwanese private limited company with its principal place of business at 10/FI., No. 44 Lane, 11 Kuang Fu N. Road, Taipei, Taiwan. Las Freight is, and at all times pertinent to this Verified Complaint was, an OTI within the meaning of the Shipping Act, 46 U.S.C. § 40102(19), subject to regulation by the FMC. Las Freight is a registered NVOCC with FMC Organization number 13673.

III. Jurisdiction

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. CMI is seeking reparations for injuries caused to it by the Respondents as a result of their violations of 46 U.S.C. §§ 41104(2), 41104(4), 40501, and 40901. As more particularly alleged below, the Respondents acted as OTIs. Despite acting as an OTI, Service by Air is not listed as a licensed OTI by the FMC, as required by 46 U.S.C. § 40901 and 46 C.F.R. § 515.3, and does not maintain a tariff with the FMC, as required by 46 C.F.R. § 520.3. Radiant and Las Freight assessed charges against CMI not in compliance with the rates, charges, classifications, rules, and practices contained in a tariff published with the Commission. All of

the Respondents failed to observe just and reasonable practices in violation of 46 U.S.C. § 41102(c).

IV. Factual Allegations

6. Between April 2014 and June 2015, CMI engaged Respondents to provide transportation of more than 60 shipments (the “Shipments”) with Respondents from China to Illinois.

7. As set forth in Exhibit 1 to this Verified Complaint, CMI was assessed more than \$400,000.00 in demurrage or storage fees associated with the Shipments.

8. On information and belief, Respondents, either individually or jointly, operated as Non-Vessel-Operating Common Carriers (NVOCCs) within the meaning of the Shipping Act on the more than 60 shipments at issue.

9. On information and belief, Respondents, either individually or jointly, held themselves out as NVOCCs.

10. Although the Shipments moved by ocean, rather than by air, Service by Air issued airway bills for the Shipments.

11. The Airway bills of lading falsely represented that goods were moving by air through locations where they were not being transported.

12. In issuing bills of lading for the ocean transportation at issue, Service by Air was acting as an NVOCC.

13. In issuing bills of lading for the ocean transportation at issue, Service by Air held itself out as an NVOCC.

14. Service by Air is not listed as a licensed OTI by the FMC, as required by 46 C.F.R. § 515.3, and does not maintain a tariff with the FMC, as required by 46 C.F.R. § 520.3.

15. SBA Global Logistics Services, Inc. ("SBA Global Logistics Services") acted as the agent for Service by Air and/or SBA Consolidators.

16. Radiant is listed as a licensed OTI. During the time period at issue, Radiant, formerly known as SBA Consolidators, was a licensed OTI and had a tariff on file with the FMC. SBA Consolidators' tariff on file with the FMC contains no rules pertaining to demurrage and states, at a section entitled "Sub-Rule 004—Free Time and Detention at Destination Terminal," "No specific rules in effect at this time."

17. Las Freight is listed as a registered OTI and has a tariff on file with the FMC. Las Freight's tariff on file with the FMC contains no rules pertaining to demurrage.

18. Las Freight issued bills of lading for the Shipments.

19. Las Freight was acting as an NVOCC.

20. In issuing bills of lading for the Shipments, Las Freight was holding itself out as an NVOCC.

21. Despite repeated inquiry from CMI, Respondents have been unable or unwilling to provide details regarding the amounts of demurrage or storage fees charged to CMI on the Shipments.

22. Upon information and belief, Mediterranean Shipping Company ("MSC") was a Vessel Operating Common Carrier (VOCC) that transported some of the Shipments.

23. MSC has a tariff that specifies what demurrage, detention and per diem charges are recoverable.

24. Upon information and belief, other VOCCs that transported the Shipments include, COSCO, Maersk, CMA-CGM and Hanjin.

25. Cosco, Maersk, CMA-CGM and Hanjin have tariffs that specify what demurrage, detention and per diem charges are recoverable.

26. Although the Respondents assessed against CMI what they represented were demurrage charges, the assessments were improper in that: 1) the Respondents did not have tariffs that permitted the recovery of such charges; 2) the charges exceeded the demurrage charges that were allowable under the VOCC's tariff; 3) the charges assessed did not accurately reflect time periods, including free time, during which demurrage charges (or detention or per diem charges) could properly have been assessed; and 4) the charges assessed included additional charges beyond the charges assessed by VOCCs, despite the fact that the Respondents either did not have tariffs or, to the extent that they had tariffs, did not have rules allowing them to inflate the charges assessed by the underlying VOCC.

27. Demurrage on the Shipments cannot be assessed against CMI because no documentation provided to CMI supports those charges, the charges are not reflected on any bill of lading or tariff, and, on information and belief, Respondents inflated, without prior notice or agreement by CMI, charges that they allegedly paid to other entities related to the Shipments.

28. Upon inquiry from CMI, Respondents or their agents repeatedly indicated that the demurrage charges on the Shipments were imposed solely by other entities in the shipping chain. For instance, in a July 7, 2015 email to Maria Teresa Vega, CMI's Financial Controller, Bryan Tincher, SBA Global Logistics Services Import/Export Manager on CMI's account wrote that: "We paid demurrage up to June 18 and this is what you are billed for. From this date to 9 July is 21 days at \$300 per day x 3 containers."

29. Also on July 7, 2015, Bryan Tincher indicated in an email to Maria Teresa Vega that the demurrage charges on the Shipments “cannot be negotiated. We already paid the SS Line SS Line will not accept any more delays.”

30. While CMI Distribution repeatedly questioned and challenged the level of demurrage charges on the Shipments, it was forced to pay those charges in order to gain release of the Shipments, possession of which was essential to continue its business operations.

31. In 2015, CMI commissioned an audit of the shipping documentation provided by Respondents to better understand the exceedingly high demurrage charges. That audit showed that: (1) Respondents used airway bills for ocean transportation transactions; (2) Respondents’ shipping documentation provided no support for demurrage charges on the Shipments and did not meet industry standard and legal requirements for such documentation; and (3) further analysis was impossible given the lack of proper documentation.

V. Violations of the Shipping Act:

A) 46 U.S.C. § 40901 – Acting as an OTI Without Holding a License Issued by the Commission

32. Respondent, Service by Air, is not a licensed, as required by 46 U.S.C. 40901 and 46 C.F.R. § 515.3.

B) 46 U.S.C. § 41102(c) - Failure to Observe Just and Reasonable Practices

33. Respondents failed to observe just and reasonable practices in violation of § 41102(c) by assessing charges against CMI not in compliance with the rates, charges, classifications, rules, and practices contained in a tariff published with the Commission.

34. Respondents violated 46 U.S.C. § 41102(c) by charging Complainant for storage and demurrage on the Shipments without providing notice of such charges on shipping documentation, bills of lading or published tariffs.

35. Respondents violated 46 U.S.C. § 41102(c) by improperly adding fees to storage and demurrage fees assessed by third parties while indicating to Complainant that the storage and demurrage fees were pass-throughs charged solely by those third parties.

36. Respondents violated 46 U.S.C. § 41102(c) by assessing demurrage charges during free time when no such demurrage charges were owed.

37. Respondents violated 46 U.S.C. § 41102(c) by assessing demurrage charges for time periods in excess of the time allowed under applicable tariffs.

38. Respondents violated 46 U.S.C. § 41102(c) by failing to provide Complainant with: (1) proper and lawful ownership documentation (bills of lading); (2) proper shipping invoices; (3) the terms and conditions of transport even though Complainant paid Respondents; and (4) clean and accurate statements of costs incurred and amounts properly payable for transportation services and related costs.

39. Respondents violated 46 U.S.C. § 41102(c) by refusing to release cargo even after receiving full payment for allowable transportation and related charges until Respondents received payment for demurrage and other costs associated with the cargo, which charges being assessed were not in compliance with the Shipping Act.

40. Respondent Service by Air violated 46 U.S.C. § 41102(c) by failing to obtain or maintain an OTI license with the Federal Maritime Commission, while holding itself out and providing OTI services to Complainant.

C) 46 U.S.C. § 41104 (2) (c) - Failure to Provide Service in Accordance with Rates, Charges, and Rules Contained in a Published Tariff

41. Respondents violated 46 U.S.C. § 41104(2) by providing service in the liner trade that is not in accordance with rates, charges, rules and practice contained in a published tariff.

D) 46 U.S.C. § 40501 - Failure to Maintain Tariff Showing All Rates, Charges, Rules and Practices

42. Respondents failed to maintain tariffs showing all rates, charges, rules and practices, in violation of 46 U.S.C. § 40501 and 46 C.F.R. § 520.3.

VI. Injury to Complainant

43. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages to the extent it paid fees not reflected in a valid tariff and in excess of remittances for lawful third party demurrage. The full extent of damages can only be determined after obtaining discovery regarding the nature and precise amounts of demurrage charges.

VII. Alternative Dispute Resolution

44. The FMC's alternative dispute resolution procedures were not used prior to filing this Verified Complaint and Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64.

VIII. Place of Hearing

Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. Prayer for Relief

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Verified Complaint, and that after the Commission's investigation and hearing, Respondents, each of them, be ordered as follows:

- 1) Pay Complainant reparations for the unlawful conduct described above;

- 2) Pay any other damages that may be determined proper and just;
- 3) Take any such other action or provide any other such relief as the Commission determines to be warranted under the circumstances; and
- 4) Pay Complainant's reasonable attorney fees and costs incurred here.

Respectfully submitted,



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Attorneys for CMI Distribution, Inc.

May 23, 2017

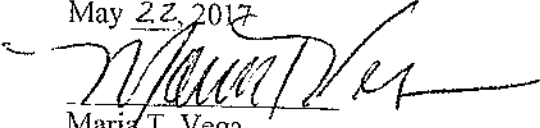
VERIFICATION

STATE OF ILLINOIS)
)
COUNTY OF COOK)

Maria T. Vega, being duly sworn, says:

I am the Financial Controller of the corporate Complainant in the action herein: I have read the VERIFIED COMPLAINT and know the contents thereof, and the same are true to my knowledge, except those matters therein which are stated to be alleged upon information and belief, and as to those matters I believe them to be true. My belief as to those matters therein not stated upon knowledge, is based upon facts, records, and other pertinent information contained in my personal files.

DATED: Wheeling, Illinois
 May 22, 2017



Maria T. Vega

Sworn to before me this 22 day of May, 2017:



Notary Public—State of Illinois

Exhibit 1

DEMURRAGE

SBA PAYMENTS

N/A = NO DEMURRAGE INCURRED

PLD#	CONT #	FREIGHT #	INVOICE	ARRIVED	DATE RECEIVED	DAYS OF DEMURRAGE	SBA DEMURRAGE ACTUAL
1	PCIU8685950	N612484	RR3555A	4/21/14	4/21/14	N/A	N/A
2	PCIU8352944	N612485	RR3555-2	5/19/14	5/23/14	1	\$ 425.00
3	MEDU3113127	N612525	HARBIN	5/28/14	6/11/14	11	\$ 1,905.00
4	PCIU8269001	N770021	RR3555-3	6/13/14	7/11/14	25	\$ 2,793.00
5	N/A LCI	N770087	N/A	7/6/14	7/14/14	N/A	N/A
6	UACU5377170	N770461	CXINV140728	9/4/14	9/17/14	N/A	N/A
7	UACU8183883	N770505	RR3555&R143670	8/28/14	8/26/14	N/A	N/A
8	UACU3157328	N770519	R143704-1	9/5/14	9/9/14	N/A	N/A
9	MEDU2212151	N770553	FPINV140808	9/6/14	9/19/14	10	\$ 1,535.00
10	MSCU5926290	N770552	HXINV140808	9/18/14	9/26/14	5	\$ 250.00
11	UACU5502837	N770520	4941	9/9/14	9/12/14	N/A	N/A
12	PCIU8214837	N770614	R143704-2&671-1	9/12/14	9/24/14	9	\$ 1,855.00
13	TTNU5524101	N770647	HXINV140820	9/25/14	10/1/14	3	\$ 1,781.25
14	PCIU8702507	N770713	R143570	10/5/14	11/24/14	47	\$ 1,730.00
15	BMOU4086576	N770779	R143570&671	10/10/14	10/27/14	14	\$ 2,515.00
16	TTNU4343813	N770856	HXINV140920	11/1/14	11/13/14	9	\$ 2,206.25
17	MATU2315044	N770915	FPINV140926	10/12/14	11/24/14	40	\$ 3,740.00
18	PCIU8707000	N770887	R143822	10/24/14	11/10/14	14	\$ 1,560.00
19	CLHU8658659	B770924	INV5476	11/8/14	2/16/15	97	\$ 17,100.00
20	PCIU8079300	N770888	WJ111409054355	10/24/14	10/28/14	1	\$ 1,400.00
21	TCU1771451	N771018	FPINV141010	12/5/14	12/12/14	4	\$ 950.00
22	BMOU4378789	N771046	R143670	11/9/14	11/21/14	9	\$ 3,850.00
23	PCIU8231881	N771045	WJ111409044355	11/3/14	1/5/15	54	\$ 10,320.50
24	PCIU8620754		WJ111409044355	11/9/14	2/16/15	96	\$ 10,320.50
25	TCLU4015624	8771043	HXINV141016	12/7/14	2/25/15	77	\$ 21,900.00
26	TCNU5110840	8771105	WJ111409044355	11/21/14	3/18/15	114	\$ 35,700.00
27	NYKU3251483	8771104	FPINV141023	12/19/14	2/18/15	58	\$ 14,300.00
28	PCIU8687212	N771164	R143802	11/25/14	12/12/14	14	\$ 2,000.00
29	TGHU1013740	N771109	FPINV141104	12/1/14	1/19/15	46	\$ 6,650.00
30	FSCU8525247	N771202	HXINV141103	12/3/14	1/15/15	40	\$ 7,525.00
33	BMOU2709846	8771383	FPINV141128	2/14/15	3/17/15	31	\$ 9,600.00
34	CAXU1715770	8771387	HXINV141203	1/22/15	2/10/15	27	\$ 6,900.00
36	GLDU9630402	8771502	FPINV141216	1/24/15	2/13/15	20	\$ 6,325.00
39	PCIU8812886	8771547	R143826-1	1/25/15	3/2/15	36	\$ 8,700.00
42	TTNU5206116	8771584	CXINV150105	2/22/15	3/26/15	32	\$ 9,900.00
43	TRIU5347586	8771645	CXINV150114	3/15/15	3/26/15	10	\$ 2,700.00
44	CAXU4048893	8771678	FPINV150118	3/19/15	6/8/15	81	\$ 6,650
45	GLDU9071069	B771679	R143825	3/9/15	5/12/15	64	\$ 14,625
46	MSCU4807147	8771716	SSINV150127	3/27/15	4/14/15	18	\$ 5,400
49	MSCU5821621	8771736	CXINV150130	3/27/15	4/17/15	21	\$ 4,200
50	MSCU4271080	8771762	SSINV150205	3/30/15	5/20/15	51	\$ 12,250
51	MSCU4867660	8771763	CXINV150205	4/3/15	4/17/15	14	\$ 3,600
52	TRHU3313918	8771739	FPINV150205	3/26/15	5/12/15	47	\$ 14,100
53	TRLU4651517	8771807	CXINV150213	3/31/15	5/26/15	56	\$ 8,735
54	MSCU4327608	8771910	HXINV150301	4/4/15	5/24/15	55	\$ 7,154
55	KKFU6731680	8851990	SSINV150301B	4/4/15	5/21/15	47	\$ 27,300
56	KKFU6726637	8851990	SSINV150301A	3/31/15	5/22/15	52	
57	PCIU8592210	8851991	R143823	4/3/15	6/10/15	58	\$ 18,000
58	MSCU5670932	8852111	SSINV150331	5/4/15	6/8/15	35	\$ 12,000
59	KKFU1167644	8852232	SSINV150402	4/29/15	7/22/15	84	\$ 8,326
60	KKFU1369099	8852231	CXINV150405	4/29/15	7/16/15	78	\$ 39,488
61	KKFU11614383		CXINV150408	4/29/15	7/9/15	71	
62	MSCU5915505	8852231	SSINV150404	5/7/15	6/12/15	36	\$ 12,600

TOTALS \$ 405,844.08